

Automotive Costs Related to Moving

Excise tax on automobiles is one of the biggest surprises people face when they register their car in a new city. This tax is based on the value of the vehicle and can amount to many hundreds of dollars on newer or more expensive models. When you're planning your move, call the city clerk's office and ask about the cost of registering your vehicle and whether excise taxes are charged. They'll be able to tell you how much you can expect to pay on your particular make, model, and year. Many cities collect excise taxes annually when you reregister your car. The only comfort is in knowing that the tax will decrease each year as the car depreciates. If you itemize deductions on your income tax return, you can deduct excise taxes.

Auto insurance costs can vary dramatically from one city to the next. Obviously you'd expect rates to be higher in large cities, but the size of the city is not the only thing that determines rates. If you're thinking of moving to a new city, call an insurance agent there (you can find agents on the Internet) and get a quote on coverage for the make and model of your vehicle so you don't have any unpleasant surprises when you arrive in your new location.